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719

REAL ESTATE PURCHASE AGREEMENT

THE STATE OF TEXAS)
)
 COUNTY OF MIDLAND) KNOW ALL MEN BY THESE PRESENTS:

THAT this Real Estate Purchase Agreement is made by and between MIDLAND WEST CORPORATION, a Texas corporation, whose mailing address is P. O. Box 8749, Midland, Texas 79703, (hereinafter referred to as the "Seller") and THE GREENS, a Joint Venture under the Uniform Partnership Act of the State of Texas composed solely of HAILCO, INC., a Texas corporation, DOVECOTE, INC., a Texas corporation, and BSD, INC., a Texas corporation, and whose mailing address is 4526 East University Boulevard, Odessa, Texas 79764 (hereinafter referred to as the "Buyer"), upon the terms and conditions set forth herein.

I.

SELLER owns all of that certain tract of parcel of land situated in Midland County, Texas, consisting of 20.343 acres or more, ~~as designated in as Lots 20, 21 and 22, Block 6, GREEN TREE NORTH, a proposed subdivision to the City of Midland County, Texas, which said property is more specifically described by metes and bounds on Exhibit "A" attached hereto and is further set forth and shown on the map attached hereto as Exhibit "B", which said Exhibits are incorporated herein by reference and made a part hereof in order to properly identify the property to be covered hereby.~~ *DR*

II.

SELLER hereby sells and agrees to convey, and Buyer hereby purchases and agrees to pay for, the tracts of land containing not less than 20.745 acres of land (exclusive of the Texas Electric Service Company Right-of-Way), situated in Midland County, Texas, and being more particularly described in Exhibit "A" attached hereto, together with all and singular, the rights and appurtenances pertaining to said tracts of land, including any rights, title and interest of Seller in and to adjacent streets, alleys or rights-of-way (all of such real property, rights, and appurtenances being hereinafter referred to as the "Property"), for the consideration and upon and subject to the terms, provisions and conditions hereinafter set forth.

III.

THE total purchase price in consideration for the property shall be the sum of ONE MILLION, THREE HUNDRED FORTY-EIGHT THOUSAND, FOUR HUNDRED TWENTY-FIVE AND NO/100 DOLLARS (\$1,348,425.00), payable all in cash, at closing against delivery of a general Warranty Deed to the property. As earnest money, Buyer has contemporaneously upon the execution of this Agreement deliver to the Seller the sum of ONE MILLION, THREE HUNDRED, FORTY-EIGHT THOUSAND, FOUR HUNDRED TWENTY-FIVE AND NO/100 DOLLARS (\$1,348,425.00) to be held or used by Seller as Seller shall deem fit in its sole discretion, and such earnest money will be applied at closing in full payment of the purchase price for the property being purchased herein.

IV.

THE conveyance by Seller to Buyer of the property shall be by general Warranty Deed, (hereinafter referred to as the "Deed"), containing general warranty of title, subject to no exceptions other than exceptions which are both (i) reflected in the commitment for Owner's Policy of Title Insurance to be furnished by Seller to Buyer pursuant to paragraph V hereof, and have been approved by Buyer, or (ii) not objected to by Buyer in the manner provided in paragraph V hereof. Ad valorem taxes on the property for all calendar years prior to the year in which closing occurs shall be paid by the Seller, and ad valorem taxes on the property for the year in which closing occurs shall be prorated as of such date. Seller shall furnish at closing tax certificates reflecting payment of ad valorem taxes for all calendar years, up to and including the calendar year immediately preceding the year in which the closing occurs, and, in the

event the closing occurs at a time when the taxes for the calendar year in which the closing occurs are payable but not yet due, taxes for such calendar year. In connection with tax proration, if actual ad valorem tax figures for the year in which closing occurs are not available on the date closing occurs, then an estimated tentative proration of taxes shall be made by the title company using tax figures from the prior year, and Seller shall pay immediately upon demand, Seller's prorata portion of such taxes as so estimated; then if actual taxes for such year are increased above the figures for the prior year, Seller will pay Buyer immediately upon demand, Seller's prorata portion of the increase, and if actual taxes for such year are reduced below figures for the prior year, Buyer will refund to Seller, Buyer's prorata portion of the reduction. This provision shall survive closing of the transaction.

V.

SELLER shall, at Seller's sole cost and expense, within twenty (20) days after the effective date of this Agreement, furnish to the title company and to Buyer, two (2) copies each of a survey of the property made on the ground by a registered engineer, which survey shall show all natural monuments, existing fences, the location of previously existing fences where there is evidence thereof on the ground, corner stakes, drainage ditches, railways and such other objects visible on the ground, and shall show and locate such easements, improvements, highways, rights-of-ways, roadways, creeks and water courses within or adjacent to the property. The said survey shall also show the areas involved in boundary disputes and encroachments, if any. Said survey shall further state whether or not the property lies within the one hundred (100) year flood plain as established by the United States Department of Housing and Urban Development. Said survey shall further identify each item affecting the property by volume and page recording references. Said survey shall be dated and signed by the surveyor and bear his official seal. The surveyor selected by Seller and the survey furnished shall be acceptable to Buyer, and to the title company so as to cause the title company to delete the standard exception with regard to boundary discrepancies encroachments and over-lapping of improvements in the Owner's Policy of Title Insurance which Seller will furnish to Buyer hereunder, if such deletion is desired by Buyer.

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VI.

SELLER shall within twenty (20) days after the effective date of this Agreement furnish to Buyer a Commitment for Owner's Policy of Title Insurance covering the property and issued by the title company, along with certified copies of every recorded instrument or document referred to therein as an exception to or as otherwise relating to title to the property. Buyer shall have thirty (30) days after Buyer receives the commitment and such recorded instruments and documents to approve or disapprove title to the property, and to notify Seller of Buyer's objections to title. Seller shall, immediately proceed after notification by Buyer of objections to title, to use its best efforts to cure said objections. If any title objections are made by Buyer, and Seller shall be unable to cure the same by the closing date, then, unless Buyer shall have waived such objections, then Buyer shall not be required to proceed to close this transaction and Seller agrees to refund to Buyer upon the day set for closing the sum of ONE MILLION, THREE HUNDRED FORTY-EIGHT THOUSAND, FOUR HUNDRED TWENTY-FIVE AND NO/100 (\$1,348,425.00) which Buyer has paid to Seller hereunder. At closing, Seller shall furnish to Buyer at Seller's expense an Owner's Policy of Title Insurance insuring the fee simple title to the land to be vested in Buyer in the amount of the purchase price containing no exceptions other than the following:

- (A) Restrictive covenants affecting the property which have been approved by Buyer.
- (B) Shortage areas.
- (C) Taxes for the year in which the closing occurs and subsequent years.
- (D) Any other exceptions which either have been approved by Buyer or have not been objected by Buyer within the time period provided above.

VII.

AS a covenant to survive the closing of this transaction, Buyer agrees that in the event Buyer has not commenced, or caused to be commenced, construction upon each of the lots being purchased herein (according to the plans and specifications approved by the Architectural Control Committee referred to in the Restrictions And Covenants on and for GREEN TREE NORTH), on or before four (4) years from the date of the closing of the sale contemplated hereby, then at the request of Seller, Buyer will re-convey any lot upon which construction has not been so commenced to Seller, by general Warranty Deed, subject only to the matters to which Seller's Deed to Buyer was subject, upon payment by Seller to Buyer of an amount equal to the purchase price paid for the property being so re-conveyed which sum shall be payable all in cash. If Seller elects to require a re-conveyance, it will give written notice to Buyer of that fact. Seller, in its sole discretion, may waive the requirement for re-conveyance for a limited period of time or in perpetuity as it deems best, but no waiver of such right for a limited time shall be deemed a waiver in perpetuity, and the fact that Seller has waived for a limited time or in perpetuity such right with regard to other lots in GREEN TREE NORTH shall not give Buyer any right to expect a waiver with regard to the property covered hereby.

VIII.

SELLER represents to the Buyer herein that the property covered hereby forms a part of a proposed subdivision to the City of Midland, Midland County, Texas, which said proposed subdivision shall be known as "GREEN TREE NORTH" and that it will diligently proceed with the development of the subdivision and will, on or before the closing date fully and finally, complete at its sole expense, the following:

(A) The annexation of the subdivision to the City of Midland, Midland County, Texas.

(B) Final platting of the subdivision. In this connection, prior to the submission of the final plat to the City of Midland, Buyer shall be entitled to adjust the common interior lines of its lots as Buyer may choose but shall not be entitled to adjust any exterior lot lines. Further, Buyer shall have the right to choose on the final plat the access points of its lots on the south property line of Lots 20 and 21 and the east property of Lot 23. Seller shall not change the size or configuration of any of the lots shown on Exhibit "B" without Buyer's consent in writing.

(C) Final zoning of the subdivision and which shall specifically permit the property being sold herein to be used for the purposes of the construction of single family, duplexes, townhouses and/or multi-family dwellings thereon at a density not to exceed ten (10) units per acre.

(D) Use its best efforts to secure the extension of paving on North Midland Drive from existing paving northward to a point up to the eastward projection of the south property line of Lot 23. Buyer will join Seller in presenting any requests to the governmental authorities required to secure such paving extension.

(E) The extension of all public utilities (including water, electricity, gas and sewer) to the subdivision and specifically to the access points at the edge of the property covered hereby as more specifically set forth and described on the map showing the points on the property at which the utilities will be available attached hereto marked Exhibit "C" and made a part hereof for all purposes.

(F) Finalizing the drafting of restrictions and covenants covering the subdivision which shall permit the uses of the property as specified in paragraph VIII(C) above. In this connection, such documents shall permit the Buyer or its assignees, the right to replat any part or all of the property agreed to be conveyed herein without the consent of any of the other property owners in GREEN TREE NORTH, but such replatting

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shall be subject to the approval of the Architectural Control Committee as provided for in the said restrictions, and such approval shall not be unreasonably withheld.

(G) Obtain for the benefit of Buyer and its assignees, tenants, etc., such number of membership units to GREEN TREE COUNTRY CLUB as Seller is able to obtain, but in no event to be less than a minimum of one hundred (100) membership units.

IX.

FROM and after the date hereof, Buyer, its transferees, assigns, employees, and agents, or any of them, shall have the right and permission to enter upon the property at all reasonable times from time to time for any reasonable purpose. Buyer shall make reasonable effort to notify Seller in advance of any such entrance upon the property.

X.

EACH of the parties represents to the other that it has not incurred and will not incur any liability for brokerage fees or agent's commissions in connection with this Agreement.

XI.

ANY written notice required or permitted by this Agreement may be given by depositing the same in the United States mail, postage prepaid, addressed as follows:

TO THE SELLER:

MIDLAND WEST CORPORATION
P. O. Box 8749
Midland, Texas 79703
Attention: Mr. Pete Dawson

TO THE BUYER:

THE GREENS
4526 East University Boulevard
Odessa, Texas 79764
Attention: Mr. Louis Rochester

or at such address of Seller/Buyer as may be delivered by the Seller/Buyer in writing to, and received by Seller/Buyer.

XII.

THE closing and the purchase of the property shall take place at the Lone Star Abstract Company, Midland, Texas, on or before thirty (30) days after the fulfillment of all the requirements of Seller as set forth under paragraphs V, VI and VIII herein, but in no event to extend beyond July 31, 1982, without the written consent of the Buyer.

XIII.

At closing, Seller agrees to pay for:

- (A) All charges for the preparation of the Deed.
- (B) The cost of obtaining the survey required by paragraph V of this Agreement.
- (C) All charges for tax certificates.
- (D) All charges for the preparation and the recordation of any instrument required to clear Seller's title for conveyance in accordance with the provisions of this Agreement.
- (E) Seller's attorney's fees.

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(F) The cost of the Owner's Policy of Title Insurance required hereby.

(G) One-half (1/2) of the escrow fee charged by the title company.

XIV.

AT closing Buyer agrees to pay for:

(A) Charges for the recordation of the deed.

(B) The additional fee for deletion of the standard printed exception regarding boundaries as hereinabove provided, if desired by Buyer.

(C) One-half (1/2) of the escrow fees charged by the title company.

(D) Buyer's attorney's fees.

ALL other costs, charges and expenses in connection with the closing of this transaction shall be allocated between Seller and Buyer in accordance with the customary practices in Midland County, Texas.

XV.

THE Seller, as an inducement to secure the right from the Buyer to the immediate unrestricted use of the ONE MILLION, THREE HUNDRED FORTY-EIGHT THOUSAND, FOUR HUNDRED AND TWENTY-FIVE AND NO/100 DOLLARS (\$1,348,425.00) paid in cash by the Buyer as escrow in accordance with the provisions of paragraph III herein, and for the purposes of securing Seller's performance under the terms and provisions of this Agreement, agrees to obtain at its sole cost and expense for the benefit of the Buyer, an Irrevocable Letter of Credit to be issued by THE FIRST NATIONAL BANK OF MIDLAND, TEXAS, in favor of the Buyer in the sum of ONE MILLION, THREE HUNDRED FORTY-EIGHT THOUSAND, FOUR HUNDRED TWENTY-FIVE AND NO/100 DOLLARS (\$1,348,425.00) for a period of one (1) year from the effective date of this Agreement, which Irrevocable Letter of Credit shall be in a form acceptable to Buyer and its counsel and which shall obligate the issuer to honor a proper draft drawn and negotiated in compliance with the terms as may be set forth in said Irrevocable Letter of Credit.

XVI.

IN the event Seller shall fail to execute and deliver the Deed as herein provided on the closing date or shall otherwise fail to perform any of the other requirements agreed to be performed under this Agreement, then Buyer shall be entitled to (a) receive the return of its ONE MILLION, THREE HUNDRED FORTY-EIGHT THOUSAND, FOUR HUNDRED TWENTY-FIVE AND NO/100 DOLLARS (\$1,348,425.00) paid hereunder within five (5) days after written notice of default is made to Seller by Certified Letter, Return Receipt Requested, addressed to the Seller at the address as provided herein in paragraph XI, and if the purchase proceeds paid hereunder are not returned by Seller to Buyer within said five (5) days, then Buyer shall be entitled to recover its purchase proceeds under the Irrevocable Letter of Credit provided for herein or (b) enforce specific performance of this agreement and have the right to receive any damages suffered by Buyer by reason of delay in the acquisition of the property.

XVII.

THIS Agreement contains the entire Agreement between the parties hereto, and no promise, representation, warranty or covenant not included in this Agreement has been or is relied upon by either party. Each party has relied upon its own examination of this Agreement and the provisions thereof, and the counsel of its own advisers, and the warranties, representations and covenants expressly contained in this Agreement. No modification or amendment of this Agreement shall be of any force or effect unless made in writing and executed by both Buyer and Seller. In the event that any litigation arises hereunder it is agreed that this Agreement shall be governed by the laws of the State of Texas. Further, the prevailing party in any litigation between the parties shall be entitled to recover, as a part of its judgment, reasonable attorney's fees.

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XVIII.

THIS Agreement may be executed in any number of counterparts which together shall constitute the agreement of the parties. Time is of the essence with respect of the performance of all obligations of Seller provided herein.

XIX.

THIS Agreement, and the rights and obligations of Buyer hereunder, may be freely assigned by Buyer without the consent of Seller.

XX.

THIS Agreement and the terms and the provisions hereof shall inure to the benefit of and be binding upon the parties hereto and their respective heirs, executors, personal representatives, successors and assigns.

XXI.

ALL references in this Agreement to "the date of this Agreement" or "the effective date of this Agreement" or similar references shall be deemed to refer to the last date on which all parties hereto have executed this Agreement. This Agreement constitutes an offer by Buyer to purchase the property on the terms and conditions and for the purchase price specified herein. Unless sooner terminated or withdrawn by notice in writing to Seller, this offer shall lapse and terminate fifteen (15) days after the date of Buyer's signature below, or, if such fifteenth (15th) day is not a business day, then at the close of Buyer's first business day thereafter, unless, prior to such time, Seller has returned to Buyer two (2) fully executed copies of this Agreement.

IN WITNESS WHEREOF, this instrument has been executed by the parties hereto on this 8th day of January, 1982.

BUYER:

THE GREENS, a Joint Venture

BY: HAILCO, INC.

BY: [Signature]

NEAL HAIL a Joint Venturer

BY: DOVECOTE, INC.

BY: [Signature]

LOUIS ROCHESTER a Joint Venturer

BY: BSD, INC.

BY: [Signature]

CHARLES E. BEIL a Joint Venturer

BY: [Signature]
MARY JO CLARKBY: [Signature]
W. A. MOORE, JR.ACCEPTED by Seller this 8th day of January, 1982.

SELLER:

MIDLAND WEST CORPORATION

BY: [Signature]

L. F. MULLINS

ATTEST:

BY: [Signature]
PETE DAWSON

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THE STATE OF TEXAS)
)
 COUNTY OF)

THIS instrument was acknowledged before me on this the 8th day of January, 1982, by NEAL HALL, President of HAILCO, Inc., a Texas corporation, on behalf of said corporation.



My commission
 expires 9-11-84

Debora K. Blackaller
 NOTARY PUBLIC IN AND FOR
 THE STATE OF TEXAS

THE STATE OF TEXAS)
)
 COUNTY OF)

THIS instrument was acknowledged before me on this the 8th day of January, 1982, by LOUIS ROCHESTER, President of DOVECOTE, INC., a Texas corporation, on behalf of said corporation.



My commission
 expires 9-11-84

Debora K. Blackaller
 NOTARY PUBLIC IN AND FOR
 THE STATE OF TEXAS

THE STATE OF TEXAS)
)
 COUNTY OF)

THIS instrument was acknowledged before me on this the 8th day of January, 1982, by CHARLES E. BEIL, President of BSD, INC., a Texas corporation, on behalf of said corporation.



My commission
 expires 9-11-84

Debora K. Blackaller
 NOTARY PUBLIC IN AND FOR
 THE STATE OF TEXAS

THE STATE OF TEXAS)
)
 COUNTY OF)

THIS instrument was acknowledged before me on this the 8th day of January, 1982, by L. F. MULLINS, President of MIDLAND WEST CORPORATION, a Texas corporation, on behalf of said corporation.



My commission
 expires 9-11-84

Debora K. Blackaller
 NOTARY PUBLIC IN AND FOR
 THE STATE OF TEXAS

Debora K. Blackaller

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Description of property:

A 20.343 acre tract out of Section 7, Block 39, T-1-S, T & P Ry. Co. Survey, Midland County, Texas, more particularly described as follows:

BEGINNING at a point in Section 7, Block 39, T-1-S, T & P Ry. Co. Survey, Midland County, Texas, for the most southerly southeast corner this tract, from which the southeast corner of said Section 7 bears S15°10'25"E, 75.00 feet and N74°49'33"E, 340.0 feet;

THENCE N15°10'25"W, 475.00 feet to a point for an interior corner this tract;

THENCE N74°49'33"E, 280.27 feet to a point in the western boundary of proposed North Midland Drive, for the most easterly southeast corner this tract;

THENCE N15°08'44"W, 318.32 feet, along said western boundary of proposed North Midland Drive, to a point for the most easterly northeast corner this tract;

THENCE S74°51'19"W, 370.00 feet to a point for an interior corner this tract;

THENCE N15°08'44"W, 160.00 feet to a point for the most northerly northeast corner this tract;

THENCE S45°16'43"W, 878.59 feet to a point for the most northerly northwest corner this tract;

THENCE S06°39'33"W, 198.34 feet to a point for an interior corner this tract;

THENCE S71°43'07"W, 353.86 feet to a point for the most westerly northwest corner this tract;

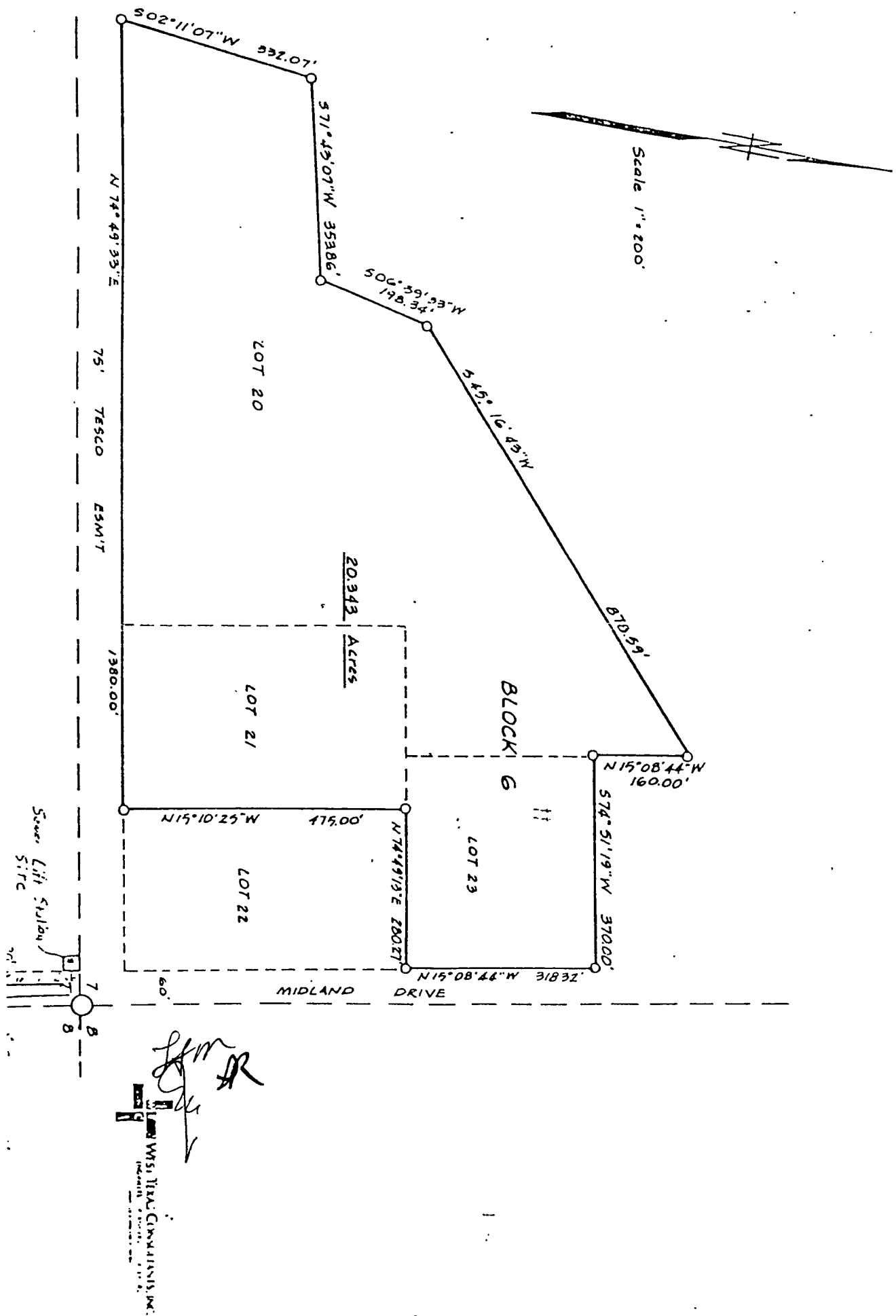
THENCE S02°11'07"W, 332.07 feet to a point for an exterior corner this tract;

THENCE 74°49'33"E, 1380.00 feet to the PLACE OF BEGINNING and containing 20.343 acres of land.

EXHIBIT "A"

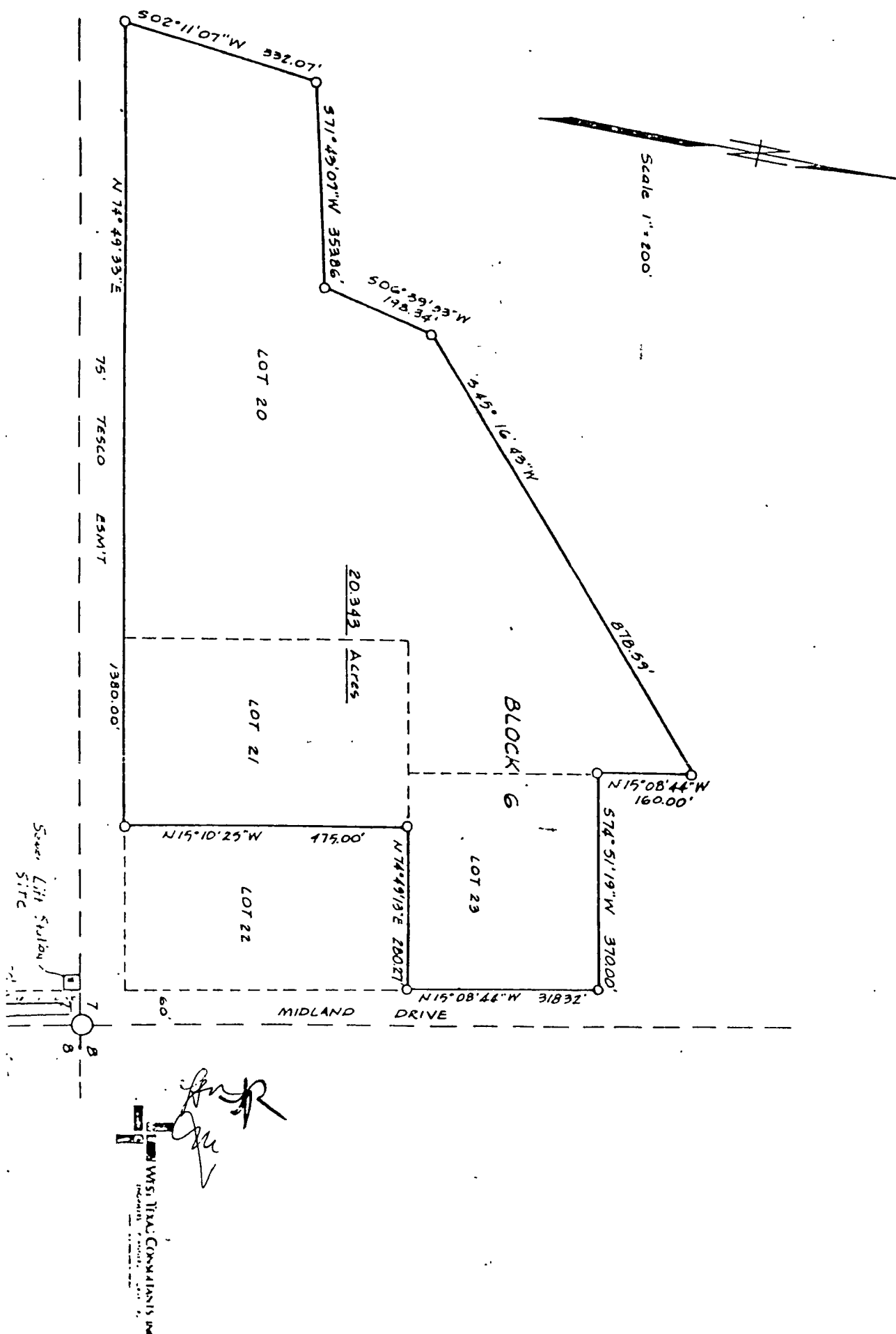
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EXHIBIT "B"



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EXHIBIT "C"



Filed for Record on the 13 day of January A.D. 19 82, at 10:30 o'clock A.M.
Duly Recorded this the 13 day of January A.D. 19 82, at 4:23 o'clock P.M.

INSTRUMENT NO. 719

ROSENELLE CHERRY, COUNTY CLERK
MIDLAND COUNTY, TEXAS
By Angelina Rodriguez Deputy